

Startup Success Prediction Using Machine Learning

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May 27, 2026

1 Project Overview

The **Startup Success Prediction** project focuses on predicting whether a startup company will become successful or unsuccessful using Machine Learning techniques. In the modern startup ecosystem, investors and organizations need data-driven systems to evaluate startup performance before making investment decisions. This project uses historical startup data and machine learning algorithms to identify patterns associated with successful startups.

The system performs complete end-to-end data analysis including data preprocessing, exploratory data analysis (EDA), feature engineering, feature selection, model training, evaluation, and comparison of multiple machine learning models.

2 Problem Statement

Startup companies often fail due to multiple business, financial, and operational factors. Investors usually face challenges while identifying which startups have a higher probability of success. Manual evaluation is time-consuming and may contain human bias.

The main objective of this project is:

- To analyze startup-related data.
- To preprocess and clean real-world startup datasets.
- To predict startup success status using machine learning models.
- To compare multiple classification algorithms and identify the best-performing model.

The project classifies startups into:

- **Successful Startups** – acquired or operating.
- **Unsuccessful Startups** – closed companies.

3 Dataset Description

The dataset contains information about startup companies including:

- Funding details
- Startup milestones
- Company age
- Operational status
- Relationships and investment information
- Founding and closing information

Several unnecessary columns such as IDs, geographical coordinates, object identifiers, zip codes, and redundant attributes were removed during preprocessing.

4 Technologies and Tools Used

Category	Tools / Libraries
Programming Language	Python
Development Environment	Jupyter Notebook
Data Handling	Pandas, NumPy
Visualization	Matplotlib, Seaborn
Machine Learning	Scikit-learn, XGBoost, CatBoost
Model Evaluation	Accuracy Score, F1-Score, Cross Validation
Version Control	Git and GitHub

Table 1: Technologies and Libraries Used

5 Project Workflow

The project follows a structured machine learning pipeline:

5.1 1. Data Cleaning

The raw dataset contained missing values, duplicate entries, and irrelevant attributes. The following preprocessing operations were performed:

- Removal of unnecessary columns.
- Handling missing values using median and default replacements.
- Conversion of date columns into numerical features.
- Removal of duplicate records.
- Encoding of target labels.

5.2 2. Exploratory Data Analysis (EDA)

EDA was performed to understand startup patterns and feature distributions. Different visualizations such as:

- Count plots
- Histograms
- Box plots
- Correlation heatmaps

were used to analyze the relationship between startup features and company status.

5.3 3. Feature Engineering and Selection

Date-based attributes were transformed into meaningful numerical features such as founding year and closing year. A Random Forest feature importance method was used to identify the most influential features for prediction.

5.4 4. Model Training and Evaluation

The dataset was divided into training and testing sets using an 80:20 ratio. Multiple machine learning classification models were trained and evaluated using cross-validation.

6 Machine Learning Models Used

The following classification algorithms were implemented:

- Random Forest Classifier
- CatBoost Classifier
- Logistic Regression
- XGBoost Classifier
- Decision Tree Classifier
- K-Nearest Neighbors (KNN)
- Gaussian Naive Bayes

Performance metrics such as Accuracy, Precision, Recall, and F1-Score were used for comparison.

7 Results and Findings

Among all models, ensemble learning algorithms such as **CatBoost**, **Random Forest**, and **XGBoost** produced better prediction performance compared to traditional models.

Key findings include:

- Funding-related attributes significantly influence startup success.
- Startups with better milestone progression show higher success probability.
- Ensemble models provide improved classification performance.
- Proper preprocessing and feature engineering greatly improve model accuracy.

8 Conclusion

This project demonstrates how machine learning can assist in startup success prediction using historical business data. The developed system successfully applies data preprocessing, feature engineering, exploratory analysis, and multiple classification algorithms to identify startup outcomes.

The project can help investors, analysts, and organizations make better data-driven decisions regarding startup investments and risk analysis.

9 Future Scope

Future improvements may include:

- Integration of real-time startup and financial data.
- Deep learning-based prediction systems.
- Deployment as a web application.
- Addition of NLP-based sentiment analysis from startup news and social media.
- Hyperparameter optimization for improved performance.